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KSE-100 V

175,186

▲ 2.44% Mon · Fri
171,021

S&P 500 V

7,411.98

▲ 0.05% · Dow
+0.46%

US 10Y / 2Y V

4.69 / 4.33

30Y near '07 high

BRENT / WTI V

\$97 / \$92

▼ ~4% Fri · +12%
wk

GOLD V

\$4,052

silver \$58.16 ·
steady

USD/PKR V

277.87

▲ Re0.03 firmer

01 Five Things You Need To Know To Start Your Day

THE WEEKEND TURN

The tape flipped over the weekend. After a fortnight of war-driven risk aversion, **the US and Iran paused attacks**, reviving hopes of a diplomatic off-ramp and instantly repricing the fear premium out of markets ([Daily Pakistan](#)). Wall Street had already steadied into Friday — the **S&P 500 closed 7,411.98 (+0.05%)** and the **Dow rose 235.60 (+0.46%) to 51,947.25**, though the **Nasdaq slipped 0.64% to 24,975.82** on a chipmaker rout and both logged a second straight weekly loss ([Yahoo Finance](#)). [V] Sentiment: **risk-on relief**.

ENERGY — THE PREMIUM DEFLATES

The single most important swing for Pakistan. **Brent fell roughly 4% on Friday to settle near \$97** — its biggest one-day drop since June — and slid further as the ceasefire held, though it still banked a **~12% weekly gain**; WTI eased toward **\$92** ([Fortune](#), [Business Recorder](#)). The read-through is immediate: Islamabad now expects **petrol to fall Rs8–10 per litre** at the next revision ([Daily Pakistan](#)). [V] Sentiment: **disinflation tailwind returning**.

LOCAL MARKET

Friday closed red but Monday roared. The **KSE-100 shed 718.24 (–0.42%) on Friday to 171,021.20**, capping a **–2.7% week**, with UBL, NBP, SYS, HBL and FFC cutting 436 points between them ([Business Recorder](#)). Then the mood snapped: the index **opened Monday +4,164.72 (+2.44%) at 175,185.92** and ran to an intraday high of **176,214.29** on the easing-tensions relief trade ([Daily Pakistan](#)). [V] Sentiment: **sharp relief rally**.

RATES — WATCHING THE FED

Friday left the long end tense: the **10-year at 4.69% and 2-year at 4.33%**, with **30-year yields near their highest since 2007** after Washington floated tariffs on some 60 trading partners ([Advisor Perspectives](#), [Business Recorder](#)). The **FOMC meets 28–29 July**; a hike this week was priced around one-in-three at Friday's oil peak, but a softening crude tape should cool that tail. [V] Sentiment: **hawkish tail, now fading**.

PAKISTAN MACRO

The week's marquee event lands today: the **SBP announces the first Monetary Policy of FY27**, with the consensus firmly on a **hold at 11.50%** ([Daily Pakistan](#)). It convenes with two crosswinds: **CPI has re-accelerated from 7.3% in March to 11.7% in May** on fuel, but **S&P Global has just upgraded Pakistan to 'B' (Stable) from 'B–'**. The rupee sits firm at **277.87/USD**. [V] Sentiment: **stability priced, inflation the watch-item**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Macro headwinds / tailwinds: Today's **SBP decision is the pivot**. The Monetary Policy Committee left the rate at **11.50%** in June and the market overwhelmingly expects another hold as the first move of FY27 [V]. The balance of risks is genuinely two-sided: **CPI has climbed from 7.3% (March) to 10.9% (April) to 11.7% (May)** on imported fuel — an argument for caution — yet the weekend collapse in oil, a firmer rupee at 277.87 and a fresh **S&P Global sovereign upgrade to 'B' Stable** hand the SBP room to stay put and signal patience. Against a growth target of 3.5% for FY27 and an FY26 export miss of roughly **\$5.2bn**, the Committee will lean on stability. The equity market has already voted: a **2.44% gap-up** on Monday says investors are positioning for a benign statement and a de-escalating region.

- **PSX rallies over 4,000 points as tensions ease** — the KSE-100 gapped to 175,186 (+2.44%) at the open, high 176,214, on the US–Iran pause and pre-MPC positioning.
- **Petrol seen falling Rs8–10/litre** — the retreat in global crude flows almost immediately into Pakistan's daily fuel pricing, easing the CPI impulse the SBP is weighing today.
- **Pakistan bonds slide after new Trump tariffs** — dollar bonds softened as Washington unveiled tariffs on ~60 trading partners, a reminder that external risk has not fully cleared.

B. GCC & Middle East

A de-escalation that cools oil but leaves the region on watch. The **US–Iran pause** pulled Brent back from above \$100 toward \$97 and lifted Gulf risk assets, but the underlying fragility — Houthi strikes on Red Sea tankers and disruption around the Strait of Hormuz — is what drove the spike in the first place [V]. For the Gulf the calculus is unchanged in structure: Saudi **non-oil activity remains resilient** on Vision-2030 execution and PIF deployment, while a lower, calmer oil price trims the fiscal windfall but reduces the security tax on shipping and aviation. The immediate corporate deadline in view is regulatory, not geopolitical: the **UAE's new merger-control regime takes effect 30 July**.

- **Oil retreats from above \$100** — crude gave back Friday's war premium but still closed the week higher, keeping Gulf budgets flush and inflation risk alive.
- **UAE Competition Law regulations in force 30 July** — Cabinet Decision No. 59 of 2026 brings a modern merger-control regime with notification thresholds and standstill obligations.

C. Global Intelligence

Wall Street & global hubs: Friday was a fragile stabilisation rather than an all-clear. The **S&P 500 eked out 7,411.98 (+0.05%)** and the **Dow added 0.46%**, but the **Nasdaq fell 0.64%** as a chipmaker rout offset relief elsewhere, and all three indices booked a second consecutive weekly decline [V]. The bond market is the tension point: **10-year yields at 4.69% and 30-year near 2007 highs**, pressured by a fresh US tariff salvo on ~60 trading partners even as oil rolled over. Precious metals steadied after Thursday's washout — **gold near \$4,052 and silver \$58.16 (Kitco)**. The set-up into the **28–29 July FOMC**: a Fed that can now point to falling crude, but faces a tariff-driven inflation cross-current and a still-firm labour market.

- **S&P 500, Dow, Nasdaq end second week lower** — elevated oil and a chipmaker sell-off capped the tape even as Friday steadied.
- **US unveils new tariffs on ~60 trading partners** — a 10% forced-labour tariff caught Pakistan and dozens of others, lifting long-end yields and reviving trade-war inflation fears.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	SBP Monetary Policy — first of FY27 , decision due today; consensus is a hold at 11.50% as the Committee balances re-accelerating CPI against easing oil and an S&P upgrade.	Banks, Equities, Leveraged Borrowers, Autos, Cements	Wins: equities and rate-sensitive cyclicals (autos, cements, leverage plays) if the hold is paired with a patient, data-dependent tone; banks keep NIM visibility. Losses: anyone positioned for near-term cuts — the door to easing stays shut while inflation runs near 11.7%. A hold is the base case and largely priced; the risk is a hawkish surprise if the MPC flags the fuel-inflation impulse.
GCC — UAE	Competition Law executive regulations (Cabinet Decision No. 59 of 2026) — a modern merger-control regime under Federal Decree-Law 36/2023, in force 30 July 2026 .	M&A, Corporates, Legal & Advisory, Banking	Wins: dealmakers and advisers gaining clearer notification thresholds and a streamlined, more predictable review process. Losses: firms mid-transaction facing new filing and standstill obligations before the 30 July deadline — expect a compliance scramble this week. For Gulf-focused sponsors and Pakistani corporates eyeing UAE tie-ups, the rulebook now sits closer to global standard.
Global — United States	New US tariffs on ~60 trading partners , including a 10% forced-labour tariff that captures Pakistan and dozens of emerging markets.	Exporters, Textiles, Emerging Markets, Bonds, Consumers	Wins: targeted US domestic producers and the tariff-revenue line. Losses: EM exporters — Pakistani textiles among them — plus US consumers facing higher import costs and bondholders as long-end yields push toward multi-year highs. The timing is awkward: a fresh tariff-inflation impulse just as an oil-driven scare was fading keeps the global rates picture unsettled into the FOMC.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

173,000

gap-fill zone; Friday's 171,021 close is the deeper floor

PIVOT EST.

175,186

Monday's opening gap level — holding it confirms the relief trade

RESISTANCE EST.

176,214

Monday intraday high; then the 179,000 area overhead

Desk stance — constructive, but respect the gap and let the MPC clear. The posture flips from defensive to cautiously constructive after Monday's **+2.44% gap-up**. The rally rests on two supports that need to hold: the **US–Iran pause** and the **oil retreat toward \$97**. Both are genuine positives — softer crude eases the exact imported-inflation channel that hurt Pakistan for a fortnight, and petrol is set to fall Rs8–10/litre. But relief rallies built on geopolitics can round-trip fast, and a gap-up of this size often gets partially filled. The swing factor is **today's SBP decision**: a hold at 11.50% with a patient tone extends the move; a hawkish surprise on fuel-inflation risk is the trap. Positioning: banks offer the cleanest earnings visibility into a hold; rate-sensitive cyclicals (autos, cements) and the oil-relief beneficiaries screen well; keep leverage modest until the statement lands and the pause proves durable. The rupee at 277.87 remains the quiet anchor. **All levels are indicative desk estimates, not recommendations.**

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